shortage. The Supreme Court also banned iron ore mining, on environmental grounds, which affected ore exports.

## Reserve Bank's Exchange Rate Defence

There were two dimensions to our exchange rate management strategy. The first was to smooth the trajectory of the exchange rate adjustment path by tactically selling foreign exchange from our reserves. The second was to manage expectations and contain potential herd behaviour in the market by implementing measures to augment inflows and stem outflows.

We regularly intervened in the forex market all through this period by selling dollars from our forex reserves. The standard operating procedure I followed was to approve the quantum of intervention for a limited period, say for a week, but leave the operational details to the staff. Consistent with global practice across central banks, the Reserve Bank does not disclose its interventions on a daily basis but markets, by and large, manage to get a sense of that by analysing the volumes of forex coming into the market.[4] They then speculate about the coded message that the bank might be sending through the size and timing of its interventions. Managing this messaging is part of the Reserve Bank intervention strategy which requires an understanding of the markets, intelligence, tact and quick thinking, all of which the forex dealers of the Reserve Bank have in abundance. This is a quiet but enormously talented bunch of professionals.

The other dimension of our exchange rate management, as I said, was capital-flow management measures. We increased the quota for foreign buying into the rupee-denominated debts issued by both the government and the corporates. This was consistent with our road map for the gradual opening up of the capital account although the timing was admittedly influenced by the taper tantrums.

If an Indian corporate defaults on its domestic borrowing, it hurts its credit rating. If an Indian corporate defaults on its foreign borrowing, it hurts the credit rating not just of the corporate but of the entire economy. Because of this spillover impact, the Reserve Bank disciplines external